

Clearly, the time periods soon after the launch of Mt. Gox were particularly exciting, but also at times harrowing. On the other side of every peak there is a dangerous trough, and bitcoin investors in these bubbles were not spared. Within the period defined as a bitcoin bubble, the average decline from peak price to trough price was 63 percent. The bubbles that peaked in June 2011 and December 2013 were particularly devastating, with losses of 93 percent and 85 percent respectively.

More insidious than the precipitous nature of the losses is how they unfolded compared to the rises. Sharp rises are often characterized by investor exuberance, quickly escalating as more and more jubilantly pile in. The falls, on the other hand, are sustained excruciation. The pattern is qualitatively visible in [Figure 10.3](#), as the ascent to the peak of a bubble is like a rocket taking off, while the decent is more like a parachute drifting to the ground.

The longer duration of descents as opposed to ascents is important for the innovative investor to keep in mind, as sometimes it may feel like the drop from the peak of a bubble will never end. Immature investors will typically cry out in defeat when they can't tolerate further losses. Sadly, these last cries of capitulation are often when a bear market is getting ready to turn around.

The Steemit Bubble

A large number of cryptoassets other than bitcoin have gone through similar stratospheric ascents, fueled by the speculation